

mortgage interest during the year. (Note that this applies only to mortgage *interest*, not the entire mortgage payment.) This is applicable to only the first \$750,000 of your mortgage on the new home—meaning that if your loan is more than that, the excess interest deduction may be limited.

Your lender will send Form 1098 in January or February, which will include all the details should you choose to itemize this expense.

## **A SMART HOME PURCHASE**

To wrap everything up, let's pretend that Alex and Shelby from the introduction didn't make the standard American home purchase—instead, they educated themselves on smart home-buying strategies and made all the right choices along the way. Instead of their constant struggle after buying that \$485,000 home, their journey would look a little more like this:

To start, they sit down and have a conversation about whether buying a home is really in their best interest. Setting all dreams and ego aside, they compare buying a home with their current apartment lifestyle. Because they plan on staying in the home for more than six years, they decide that homeownership is their best option. They are willing to recognize that buying a home isn't an "investment," but it is a better long-term option than renting in their scenario.

Before searching for a lender or agent, they spend some time analyzing their finances. They decide that they're willing to spend \$2,200 on their total monthly mortgage payment (including principal, interest, taxes, and insurance), and they're prepared for the extra cost of any maintenance issues that arise.

They both have a credit score above 700, stable jobs, and a debt-to-income ratio below 45 percent. Collectively, they have \$40,000 cash on hand for the down payment and closing costs. Because they want to reserve \$10,000 in leftover funds after the purchase, they're going to use only \$30,000 of that money toward the home purchase—which means they will almost definitely need to pay private mortgage insurance along with their monthly payment.

Shelby runs the numbers, and their maximum home price looks to be about \$360,000. With a thirty-year fixed-rate loan at that price, they will be